

profits and revenues. They also see the weakness as 'temporary.' If this drops below the triple bottom low, then it's exit time: 28.23 for a 7% loss. This sounds like a losing situation to me. Profits and revenues will fall in the coming quarters, but the stock is cheap, historically. Hope it doesn't become cheaper."

Because of my fear of a losing trade, I cut the trade size by 29%.

I bought on the day price peaked. It dropped thereafter, dropping below the bottom of the triple bottom and hitting the stop. "Date sold: 5 November 2007. Order details: I placed a stop order to sell it at 27.99, a penny below the prior day's low, but it filled at 27.89. Strong downdraft on the open. Sell reason: hit stop." I lost 9% on the trade and feel glad that I cut the position size.

- Lesson: Trying to determine when a throwback has completed and price resumes rising can be difficult. Price *did* look as if it was rising (it had bottomed 4 days prior) when I bought, but it reversed. In fact, my buy price was a few cents above the triple bottom's high, so it was like breaking out upward for a second time.

I was happy I sold because the bear market took the stock down to 4.01, or 86% below my sale price.

Sara Lee

In Sara Lee (SLE) in early 2006, I spotted a triple bottom in the making. The stock had been trending downward since peaking in January 2005. Now (2020), I avoid trying to catch a falling knife (bottom fishing) in issues that drop for long periods of time like this one did for a year.

"Buy reason: Flat shelf on triple bottom, between 2nd and 3rd bottom. Price has closed above the shelf top. I wanted to place a buy stop to get in a penny above the shelf, but I forgot to yesterday. Today, price zoomed up. Oops. You can also consider this an AEDB [Adam & Eve double bottom], confirmed today."

What this means is that I bought (at 18.00) near the third bottom and did not wait for confirmation of the triple bottom. I placed a stop and raised it to 17.66 on 17 March.